

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Condensed Consolidated Statements of Earnings
(Unaudited)

	For the three months ended		
	July 31, 2025	April 30, 2025	July 31, 2024
	In millions, except per share amounts		
Net revenue	\$ 9,136	\$ 7,627	\$ 7,710
Costs and Expenses:			
Cost of sales (exclusive of amortization shown separately below)	6,464	5,458	5,271
Research and development	622	540	547
Selling, general and administrative	1,496	1,298	1,229
Amortization of intangible assets	126	37	60
Impairment of goodwill	—	1,361	—
Transformation (credit) costs	—	(13)	14
Acquisition, disposition and other charges	181	55	42
Total costs and expenses	8,889	8,736	7,163
Earnings (loss) from operations	247	(1,109)	547
Interest and other, net ⁽¹⁾	8	39	(12)
Gain on sale of a business	1	—	—
Earnings from equity interests	32	25	73
Earnings (loss) before provision for taxes	288	(1,045)	608
Benefit (provision) for taxes	17	(5)	(96)
Net earnings (loss) attributable to HPE	305	(1,050)	\$ 512
Preferred stock dividends	(29)	(29)	—
Net earnings (loss) attributable to common stockholders	\$ 276	\$ (1,079)	\$ 512
Net Earnings (Loss) Per Share Attributable to Common Stockholders:			
Basic	\$ 0.21	\$ (0.82)	\$ 0.39
Diluted	0.21	(0.82)	0.38
Cash dividends declared per share	0.13	0.13	0.13
Cash dividends accrued per preferred share	\$ 0.95	\$ 0.95	\$ —
Weighted-average Shares Used to Compute Net Earnings (Loss) Per Share:			
Basic	1,325	1,322	1,312
Diluted	1,421	1,322	1,332

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
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(Unaudited)

	For the nine months ended	
	July 31, 2025	July 31, 2024
	In millions, except per share amounts	
Net revenue	\$ 24,617	\$ 21,669
Costs and Expenses:		
Cost of sales (exclusive of amortization shown separately below)	17,481	14,397
Research and development	1,637	1,719
Selling, general and administrative	4,062	3,660
Amortization of intangible assets	201	198
Impairment of goodwill	1,361	—
Transformation costs	2	67
Acquisition, disposition and other charges	302	131
Total costs and expenses	25,046	20,172
(Loss) earnings from operations	(429)	1,497
Interest and other, net ⁽¹⁾	86	(122)
Gain on sale of a business	245	—
Earnings from equity interests	74	161
(Loss) earnings before provision for taxes	(24)	1,536
Provision for taxes	(94)	(323)
Net (loss) earnings attributable to HPE	(118)	1,213
Preferred stock dividends	(87)	—
Net (loss) earnings attributable to common stockholders	<u>\$ (205)</u>	<u>\$ 1,213</u>
Net (Loss) Earnings Per Share Attributable to Common Stockholders:		
Basic	\$ (0.16)	\$ 0.93
Diluted	(0.16)	0.92
Cash dividends declared per share	0.39	0.39
Cash dividends accrued per preferred share	\$ 2.86	\$ —
Weighted-average Shares Used to Compute Net (Loss) Earnings Per Share:		
Basic	1,321	1,308
Diluted	1,321	1,325

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Reconciliation of GAAP to Non-GAAP measures
(Unaudited)

	For the three months ended		
	July 31, 2025	April 30, 2025	July 31, 2024
	Dollars in millions		
GAAP net revenue	\$ 9,136	\$ 7,627	\$ 7,710
GAAP cost of sales	6,464	5,458	5,271
GAAP gross profit	2,672	2,169	2,439
Non-GAAP Adjustments			
Stock-based compensation expense	10	13	9
Acquisition, disposition and other charges ⁽²⁾	50	—	2
Cost reduction program	—	46	—
H3C divestiture related severance costs	—	16	—
Non-GAAP gross profit	\$ 2,732	\$ 2,244	\$ 2,450
GAAP gross profit margin	29.2 %	28.4 %	31.6 %
Non-GAAP adjustments	0.7 %	1.0 %	0.2 %
Non-GAAP gross profit margin	29.9 %	29.4 %	31.8 %

	For the nine months ended	
	July 31, 2025	July 31, 2024
	Dollars in millions	
GAAP net revenue	\$ 24,617	\$ 21,669
GAAP cost of sales	17,481	14,397
GAAP gross profit	7,136	7,272
Non-GAAP Adjustments		
Stock-based compensation expense	40	39
Acquisition, disposition and other charges ⁽²⁾	47	(30)
Cost reduction program	46	—
H3C divestiture related severance costs	17	—
Non-GAAP gross profit	\$ 7,286	\$ 7,281
GAAP gross profit margin	29.0 %	33.6 %
Non-GAAP adjustments	0.6 %	— %
Non-GAAP gross profit margin	29.6 %	33.6 %

	For the three months ended		
	July 31, 2025	April 30, 2025	July 31, 2024
	Dollars in millions		
GAAP earnings (loss) from operations	\$ 247	\$ (1,109)	\$ 547
Non-GAAP Adjustments			
Amortization of intangible assets	126	37	60
Impairment of goodwill	—	1,361	—
Transformation (credit) costs	—	(13)	14
Stock-based compensation expense	177	116	80
H3C divestiture related severance costs	—	20	—
Cost reduction program	2	146	—
Acquisition, disposition and other charges ⁽²⁾	225	55	70
Non-GAAP earnings from operations	<u>\$ 777</u>	<u>\$ 613</u>	<u>\$ 771</u>
GAAP operating profit margin	2.7 %	(14.5%)	7.1 %
Non-GAAP adjustments	5.8 %	22.5 %	2.9 %
Non-GAAP operating profit margin	<u>8.5 %</u>	<u>8.0 %</u>	<u>10.0 %</u>

	For the nine months ended	
	July 31, 2025	July 31, 2024
	Dollars in millions	
GAAP (loss) earnings from operations	\$ (429)	\$ 1,497
Non-GAAP Adjustments		
Amortization of intangible assets	201	198
Impairment of goodwill	1,361	—
Transformation costs	2	67
Stock-based compensation expense	447	341
H3C divestiture related severance costs	97	—
Cost reduction program	148	—
Acquisition, disposition and other charges ⁽²⁾	343	127
Non-GAAP earnings from operations	<u>\$ 2,170</u>	<u>\$ 2,230</u>
GAAP operating profit margin	(1.7)%	6.9 %
Non-GAAP adjustments	10.5 %	3.4 %
Non-GAAP operating profit margin	<u>8.8 %</u>	<u>10.3 %</u>

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Reconciliation of GAAP to Non-GAAP measures
(Unaudited)

	For the three months ended					
	July 31, 2025	Diluted Net EPS	April 30, 2025	Diluted Net EPS	July 31, 2024	Diluted Net EPS
	Dollars in millions, except per share amounts					
GAAP net (loss) earnings attributable to HPE	\$ 305	\$ 0.21	\$ (1,050)	\$ (0.82)	\$ 512	\$ 0.38
Non-GAAP Adjustments:						
Amortization of intangible assets	126	0.09	37	0.03	60	0.05
Impairment of goodwill	—	—	1,361	1.03	—	—
Transformation (credit) costs	—	—	(13)	(0.01)	14	0.01
Stock-based compensation expense	177	0.12	116	0.09	80	0.06
Gain on sale of a business	(1)	—	—	—	—	—
H3C divestiture related severance costs	—	—	20	0.02	—	—
Cost reduction program	2	—	146	0.11	—	—
Acquisition, disposition and other charges ⁽²⁾	225	0.17	55	0.04	70	0.05
Adjustments for equity interests	—	—	—	—	(44)	(0.04)
Litigation judgment	(52)	(0.04)	—	—	—	—
Loss (gain) on equity investments, net	1	—	(7)	(0.01)	(14)	(0.01)
Adjustments for taxes	(128)	(0.09)	(91)	(0.08)	(21)	(0.01)
Other adjustments ⁽³⁾	(24)	(0.02)	(29)	(0.02)	4	—
Non-GAAP net earnings attributable to HPE⁽⁴⁾	631	\$ 0.44	545	\$ 0.38	661	\$ 0.50
Preferred stock dividends	(29)		(29)		—	
Non-GAAP net earnings attributable to common stockholders	<u>\$ 602</u>		<u>\$ 516</u>		<u>\$ 661</u>	

	For the nine months ended			
	July 31, 2025	Diluted Net EPS	July 31, 2024	Diluted Net EPS
	Dollars in millions, except per share amounts			
GAAP net (loss) earnings attributable to HPE	\$ (118)	\$ (0.16)	\$ 1,213	\$ 0.92
Non-GAAP Adjustments:				
Amortization of intangible assets	201	0.15	198	0.15
Impairment of goodwill	1,361	1.03	—	—
Transformation costs	2	—	67	0.05
Stock-based compensation expense	447	0.34	341	0.26
Gain on sale of a business	(245)	(0.19)	—	—
H3C divestiture related severance costs	97	0.07	—	—
Cost reduction program	148	0.11	—	—
Acquisition, disposition and other related charges ⁽²⁾	343	0.26	127	0.10
Adjustments for equity interests	—	—	(132)	(0.10)
Litigation judgment	(52)	(0.04)	—	—
(Gain) loss on equity investments, net	(8)	—	47	0.03
Adjustments for taxes	(234)	(0.19)	(6)	(0.01)
Other adjustments ⁽³⁾	(82)	(0.06)	5	—
Non-GAAP net earnings attributable to HPE⁽⁴⁾	1,860	1.32	1,860	1.40
Preferred stock dividends	(87)		—	
Non-GAAP net earnings attributable to common stockholders	\$ 1,773		\$ 1,860	

	For the three months ended		
	July 31, 2025	April 30, 2025	July 31, 2024
	In millions		
Net cash provided by (used in) operating activities	\$ 1,305	\$ (461)	\$ 1,154
Investment in property, plant and equipment and software assets	(576)	(547)	(543)
Proceeds from sale of property, plant and equipment	90	80	62
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	(29)	81	(4)
Free cash flow	\$ 790	\$ (847)	\$ 669

	For the nine months ended	
	July 31, 2025	July 31, 2024
	In millions	
Net cash provided by operating activities	\$ 454	\$ 2,311
Investment in property, plant and equipment and software assets	(1,651)	(1,759)
Proceeds from sale of property, plant and equipment	254	280
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	9	(35)
Free cash flow	\$ (934)	\$ 797

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Condensed Consolidated Balance Sheets

	As of	
	July 31, 2025	October 31, 2024
	(Unaudited)	(Audited)
	In millions, except par value	
ASSETS		
Current Assets:		
Cash and cash equivalents	\$ 4,571	\$ 14,846
Accounts receivable, net of allowances	5,656	3,550
Financing receivables, net of allowances	3,777	3,870
Inventory	7,163	7,810
Assets held for sale	—	1
Other current assets	4,835	3,380
Total current assets	26,002	33,457
Property, plant and equipment, net	6,118	5,664
Long-term financing receivables and other assets	13,817	12,616
Investments in equity interests	999	929
Goodwill and intangible assets	30,404	18,596
Total assets	\$ 77,340	\$ 71,262
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current Liabilities:		
Notes payable and short-term borrowings	\$ 6,799	\$ 4,742
Accounts payable	8,662	11,064
Employee compensation and benefits	1,549	1,356
Taxes on earnings	256	284
Deferred revenue	5,311	3,904
Liabilities held for sale	—	32
Other accrued liabilities	4,770	4,591
Total current liabilities	27,347	25,973
Long-term debt	16,854	13,504
Other non-current liabilities	8,672	6,905
Commitments and Contingencies		
Stockholders' Equity		
HPE stockholders' Equity:		
7.625% Series C mandatory convertible preferred stock, \$0.01 par value (30 shares issued and outstanding as of July 31, 2025 and October 31, 2024, respectively)	—	—
Common stock, \$0.01 par value (9,600 shares authorized; 1,319 and 1,297 shares issued and outstanding as of July 31, 2025 and October 31, 2024, respectively)	13	13
Additional paid-in capital	30,199	29,848
Accumulated deficit	(2,786)	(2,068)
Accumulated other comprehensive loss	(3,024)	(2,977)
Total HPE stockholders' equity	24,402	24,816
Non-controlling interests	65	64
Total stockholders' equity	24,467	24,880
Total liabilities and stockholders' equity	\$ 77,340	\$ 71,262

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Condensed Consolidated Statements of Cash Flows
(Unaudited)

	For the nine months ended	
	July 31, 2025	July 31, 2024
	In millions	
Cash Flows from Operating Activities:		
Net (loss) earnings attributable to HPE	\$ (118)	\$ 1,213
Adjustments to Reconcile Net (Loss) Earnings Attributable to HPE to Net Cash Provided by Operating Activities:		
Depreciation and amortization	1,860	1,924
Impairment of goodwill	1,361	—
Stock-based compensation expense	447	341
Provision for inventory and credit losses	339	125
Restructuring (credit) charges	(13)	20
Cost reduction program	148	—
Deferred taxes on earnings	(74)	16
Earnings from equity interests	(74)	(161)
Gain on sale of a business	(245)	—
Dividends received from equity investees	—	43
H3C divestiture related severance costs	97	—
Other, net	156	160
Changes in Operating Assets and Liabilities, Net of Acquisitions:		
Accounts receivable	(1,130)	(383)
Financing receivables	(3)	(311)
Inventory	1,385	(3,195)
Accounts payable	(2,595)	3,002
Taxes on earnings	(105)	108
Restructuring	(46)	(144)
Other assets and liabilities	(936)	(447)
Net cash provided by operating activities	454	2,311
Cash Flows from Investing Activities:		
Investment in property, plant and equipment and software assets	(1,651)	(1,759)
Proceeds from sale of property, plant and equipment	254	280
Purchases of equity investments	(7)	(16)
Proceeds from sale of available-for-sale securities	47	5
Proceeds from maturities and redemptions of available-for-sale securities	48	—
Financial collateral posted	(755)	(728)
Financial collateral received	518	638
Payments made in connection with business acquisitions, net of cash acquired	(12,278)	—
Proceeds from sale of a business	210	—
Net cash used in investing activities	(13,614)	(1,580)
Cash Flows from Financing Activities:		
Short-term borrowings with original maturities less than 90 days, net	8	(50)
Proceeds from debt, net of issuance costs	5,333	2,156
Payment of debt	(1,663)	(2,794)
Net payments related to stock-based award activities	(229)	(69)
Repurchases of common stock	(102)	(100)
Cash dividends paid to non-controlling interests, net of contributions	(8)	(8)
Cash dividends paid to preferred stockholders	(83)	—

Cash dividends paid to common stockholders	(513)	(507)
Net cash provided by (used in) financing activities	2,743	(1,372)
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	9	(35)
Change in cash, cash equivalents and restricted cash	(10,408)	(676)
Cash, cash equivalents and restricted cash at beginning of period	15,105	4,581
Cash, cash equivalents and restricted cash at end of period	<u>\$ 4,697</u>	<u>\$ 3,905</u>

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Segment Information
(Unaudited)

	For the three months ended		
	July 31, 2025	April 30, 2025	July 31, 2024
	In millions		
Net Revenue:			
Server ⁽⁵⁾	\$ 4,940	\$ 4,058	\$ 4,255
Hybrid Cloud ⁽⁵⁾	1,484	1,453	1,325
Networking ⁽⁶⁾	1,730	1,162	1,121
Financial Services	886	856	879
Corporate Investments and other	194	194	262
Total segment net revenue	9,234	7,723	7,842
Elimination of intersegment net revenue	(98)	(96)	(132)
Total consolidated net revenue	\$ 9,136	\$ 7,627	\$ 7,710
Earnings Before Taxes:			
Server ⁽⁵⁾	\$ 317	\$ 241	\$ 461
Hybrid Cloud ⁽⁵⁾	87	78	69
Networking ⁽⁶⁾	360	274	251
Financial Services	88	89	79
Corporate Investments and other	(14)	(10)	(4)
Total segment earnings from operations	838	672	856
Unallocated corporate costs and eliminations	(61)	(59)	(85)
Stock-based compensation expense	(177)	(116)	(80)
Amortization of intangible assets	(126)	(37)	(60)
Impairment of goodwill	—	(1,361)	—
Transformation credit (costs)	—	13	(14)
Gain on sale of a business	1	—	—
H3C divestiture related severance costs	—	(20)	—
Cost reduction program	(2)	(146)	—
Acquisition, disposition and other charges ⁽²⁾	(225)	(55)	(70)
Interest and other, net ⁽¹⁾	8	39	(12)
Earnings from equity interests	32	25	73
Total pretax earnings (loss)	\$ 288	\$ (1,045)	\$ 608

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Segment Information
(Unaudited)

	For the nine months ended	
	July 31, 2025	July 31, 2024
	In millions	
Net Revenue:		
Server ⁽⁵⁾	\$ 13,288	\$ 11,423
Hybrid Cloud ⁽⁵⁾	4,342	3,880
Networking ⁽⁶⁾	4,038	3,408
Financial Services	2,615	2,619
Corporate Investments and other	585	752
Total segment net revenue	24,868	22,082
Elimination of intersegment net revenue	(251)	(413)
Total consolidated net revenue	<u>\$ 24,617</u>	<u>\$ 21,669</u>
Earnings Before Taxes:		
Server ⁽⁵⁾	\$ 906	\$ 1,263
Hybrid Cloud ⁽⁵⁾	264	133
Networking ⁽⁶⁾	948	841
Financial Services	259	234
Corporate Investments and other	(26)	(23)
Total segment earnings from operations	2,351	2,448
Unallocated corporate costs and eliminations	(181)	(218)
Stock-based compensation expense	(447)	(341)
Amortization of intangible assets	(201)	(198)
Impairment of goodwill	(1,361)	—
Transformation costs	(2)	(67)
Gain on sale of a business	245	—
H3C divestiture related severance costs	(97)	—
Cost reduction program	(148)	—
Acquisition, disposition and other charges ⁽²⁾	(343)	(127)
Interest and other, net ⁽¹⁾	86	(122)
Earnings from equity interests	74	161
Total pretax (loss) earnings	<u>\$ (24)</u>	<u>\$ 1,536</u>

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Segment Information
(Unaudited)

	For the three months ended			Change (%)	
	July 31, 2025	April 30, 2025	July 31, 2024	Q/Q	Y/Y
Dollars in millions					
Net Revenue:					
Server ⁽⁵⁾	\$ 4,940	\$ 4,058	\$ 4,255	22%	16%
Hybrid Cloud ⁽⁵⁾	1,484	1,453	1,325	2	12
Networking ⁽⁶⁾	1,730	1,162	1,121	49	54
Financial Services	886	856	879	4	1
Corporate Investments and other	194	194	262	—	(26)
Total segment net revenue	9,234	7,723	7,842	20	18
Elimination of intersegment net revenue	(98)	(96)	(132)	2	(26)
Total consolidated net revenue	<u>\$ 9,136</u>	<u>\$ 7,627</u>	<u>\$ 7,710</u>	20%	19%

	For the nine months ended		
	July 31, 2025	July 31, 2024	Y/Y
Dollars in millions			
Net Revenue:			
Server ⁽⁵⁾	\$ 13,288	\$ 11,423	16%
Hybrid Cloud ⁽⁵⁾	4,342	3,880	12
Networking ⁽⁶⁾	4,038	3,408	19
Financial Services	2,615	2,619	—
Corporate Investments and other	585	752	(22)
Total segment net revenue	24,868	22,082	13
Elimination of intersegment net revenue	(251)	(413)	(39)
Total consolidated net revenue	<u>\$ 24,617</u>	<u>\$ 21,669</u>	14%

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Segment Operating Margin Summary Data
(Unaudited)

	For the three months ended			Change in operating profit margin (pts)	
	July 31, 2025	April 30, 2025	July 31, 2024	Q/Q	Y/Y
Segment Operating Profit Margin:					
Server ⁽⁵⁾	6.4 %	5.9 %	10.8 %	0.5	(4.4)
Hybrid Cloud ⁽⁵⁾	5.9 %	5.4 %	5.2 %	0.5	0.7
Networking ⁽⁶⁾	20.8 %	23.6 %	22.4 %	(2.8)	(1.6)
Financial Services	9.9 %	10.4 %	9.0 %	(0.5)	0.9
Corporate Investments and other	(7.2%)	(5.2%)	(1.5%)	(2.0)	(5.7)
Total segment operating profit margin	9.1 %	8.7 %	10.9 %	0.4	(1.8)

	For the nine months ended		Change in operating profit margin (pts)
	July 31, 2025	July 31, 2024	Y/Y
Segment Operating Profit Margin:			
Server ⁽⁵⁾	6.8 %	11.1 %	(4.3)
Hybrid Cloud ⁽⁵⁾	6.1 %	3.4 %	2.7
Networking ⁽⁶⁾	23.5 %	24.7 %	(1.2)
Financial Services	9.9%	8.9%	1.0
Corporate Investments and other	(4.4 %)	(3.1 %)	(1.3)
Total segment operating profit margin	9.5 %	11.1 %	(1.6)

HEWLETT PACKARD ENTERPRISE COMPANY AND SUBSIDIARIES
Calculation of Diluted Net Earnings Per Share
(Unaudited)

	For the three months ended		
	July 31, 2025	April 30, 2025	July 31, 2024
In millions, except per share amounts			
Numerator:			
GAAP net earnings (losses) attributable to common stockholders - Basic	\$ 276	\$ (1,079)	\$ 512
Plus: 7.625% Series C mandatory convertible preferred stock dividends	29	—	—
GAAP net earnings (losses) attributable to HPE - Diluted	<u>\$ 305</u>	<u>\$ (1,079)</u>	<u>\$ 512</u>
Non-GAAP net earnings attributable to common stockholders - Basic	\$ 602	\$ 516	\$ 661
Plus: 7.625% Series C mandatory convertible preferred stock dividends	29	29	—
Non-GAAP net earnings attributable to HPE - Diluted	<u>\$ 631</u>	<u>\$ 545</u>	<u>\$ 661</u>
Denominator:			
GAAP Weighted-average shares used to compute basic net EPS	1,325	1,322	1,312
Dilutive effect of employee stock plans ⁽⁷⁾	16	—	20
Dilutive effect of 7.625% Series C mandatory convertible preferred stock ⁽⁷⁾	80	—	—
GAAP Weighted-average shares used to compute diluted net EPS	<u>1,421</u>	<u>1,322</u>	<u>1,332</u>
Non-GAAP Weighted-average shares used to compute basic net EPS	1,325	1,322	1,312
Dilutive effect of employee stock plans ⁽⁷⁾	16	10	20
Dilutive effect of 7.625% Series C mandatory convertible preferred stock ⁽⁷⁾	80	87	—
Non-GAAP Weighted-average shares used to compute diluted net EPS	<u>1,421</u>	<u>1,419</u>	<u>1,332</u>
GAAP Net EPS			
Basic	\$ 0.21	\$ (0.82)	\$ 0.39
Diluted	\$ 0.21	\$ (0.82)	\$ 0.38
Non-GAAP Net EPS			
Basic	\$ 0.45	\$ 0.39	\$ 0.50
Diluted ⁽⁴⁾	\$ 0.44	\$ 0.38	\$ 0.50

	For the nine months ended	
	July 31, 2025	July 31, 2024
	In millions, except per share amounts	
Numerator:		
GAAP net (loss) earnings attributable to common stockholders - Basic	\$ (205)	\$ 1,213
Plus: 7.625% Series C mandatory convertible preferred stock dividends	—	—
GAAP net (loss) earnings attributable to HPE - Diluted	<u>\$ (205)</u>	<u>\$ 1,213</u>
Non-GAAP net earnings attributable to common stockholders - Basic	\$ 1,773	\$ 1,860
Plus: 7.625% Series C mandatory convertible preferred stock dividends	87	—
Non-GAAP net earnings attributable to HPE - Diluted	<u>\$ 1,860</u>	<u>\$ 1,860</u>
Denominator:		
Weighted-average shares used to compute basic net EPS	1,321	1,308
Dilutive effect of employee stock plans ⁽⁷⁾	—	17
Dilutive effect of 7.625% Series C mandatory convertible preferred stock ⁽⁷⁾	—	—
Weighted-average shares used to compute diluted net EPS	<u>1,321</u>	<u>1,325</u>
Denominator(Non-GAAP):		
Weighted-average shares used to compute basic net EPS	1,321	1,308
Dilutive effect of employee stock plans ⁽⁷⁾	14	17
Dilutive effect of 7.625% Series C mandatory convertible preferred stock ⁽⁷⁾	78	—
Weighted-average shares used to compute diluted net EPS	<u>1,413</u>	<u>1,325</u>
GAAP Net EPS		
Basic	\$ (0.16)	\$ 0.93
Diluted	\$ (0.16)	\$ 0.92
Non-GAAP Net EPS		
Basic	\$ 1.34	\$ 1.42
Diluted ⁽⁴⁾	\$ 1.32	\$ 1.40

- (1) Interest and other, net includes tax indemnification and other adjustments, non-service net periodic benefit credit, and interest and other, net. The three and nine months ended July 31, 2025, include a \$52 million litigation settlement which HPE received in the third quarter of fiscal 2025.
- (2) Includes disaster recovery and divestiture related exit costs. For the three and nine months ended July 31, 2025, Acquisition, disposition and other charges include non-cash amortization of fair value adjustment for inventory in connection with the acquisition of Juniper Networks, which was recorded in cost of sales.
- (3) Other adjustments includes non-service net periodic benefit credit and tax indemnification and other adjustments.
- (4) For purposes of calculating diluted net EPS, the preferred stock dividends are added back to the net earnings attributable to common stockholders and the diluted weighted average share calculation assumes the preferred stock was converted at issuance or as of the beginning of the reporting period.
- (5) Effective at the beginning of the first quarter of fiscal 2025, in order to align its segment financial reporting more closely with its current business structure, HPE implemented an organizational change with the transfer of certain managed services, previously reported within the Server reportable segment, to the Hybrid Cloud reportable segment.
- (6) During the third quarter of fiscal 2025, the Intelligent Edge segment was renamed to Networking. The segment name change did not result in any change to the composition of the Company's segments and therefore no prior information was recast; further, the designation change did not impact the Company's condensed consolidated financial statements.
- (7) The impact of dilutive effect of employee stock plans is calculated under the treasury stock method, and the impact of dilutive effect of the preferred stock is calculated under the if-converted method. The effect of employee stock plans and preferred stock is excluded when calculating diluted net loss per share as it would be anti-dilutive.